

PROJECT GATEWAY

Strategic alternatives for the Government of Dubai's stake in Salik

Discussion materials for the Department of Finance · September 2026

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Hypothetical mandate prepared as a portfolio exercise on public information. No party named in these materials is or has been in discussions.

Executive summary

Four years after the IPO the asset is fully valued by the market; the question is what to do with 75.1%

AED 40.3bn

Market capitalisation

20.2x

EV / FY2025 EBITDA

+168%

Price return since IPO at AED 2.00

75.1%

Government of Dubai stake

3.5%

Dividend yield

- **Salik has become the highest-quality listed infrastructure asset in the Emirate.** FY2025 EBITDA of AED 2,165m at a 70% margin, cash conversion above 95%, no capex, all profit distributed. The 2025 tariff change demonstrated that the tariff lever works and the market rewarded it.
- **The market already prices it as a strategic asset.** At 20.2x EBITDA the shares trade 30% above the toll-road peer median and above what any financial sponsor could pay (AED 4.66). Only a long-term strategic or sovereign holder can justify a premium (up to AED 6.05).
- **A change of control is neither available nor advisable.** The RTA holds the tariff, the gates and the concession; the government's 75.1% is the basis of the asset's credit and equity story. The alternatives that create value are all minority transactions.
- **We recommend a placement of 10–15% to an anchor consortium** — a global infrastructure sponsor with Gulf precedent alongside a regional sovereign fund — at a 5–12% premium to market, raising AED 0.0bn–AED 0.0bn, with an operator partnership on technology and ancillary revenue as a second step.
- **Timing is favourable.** Gulf infrastructure demand from global sponsors is at a peak after the Jafurah and ADNOC pipeline transactions; the tariff change is in the numbers; and the free float is small enough that a block would be scarce.

Situation overview

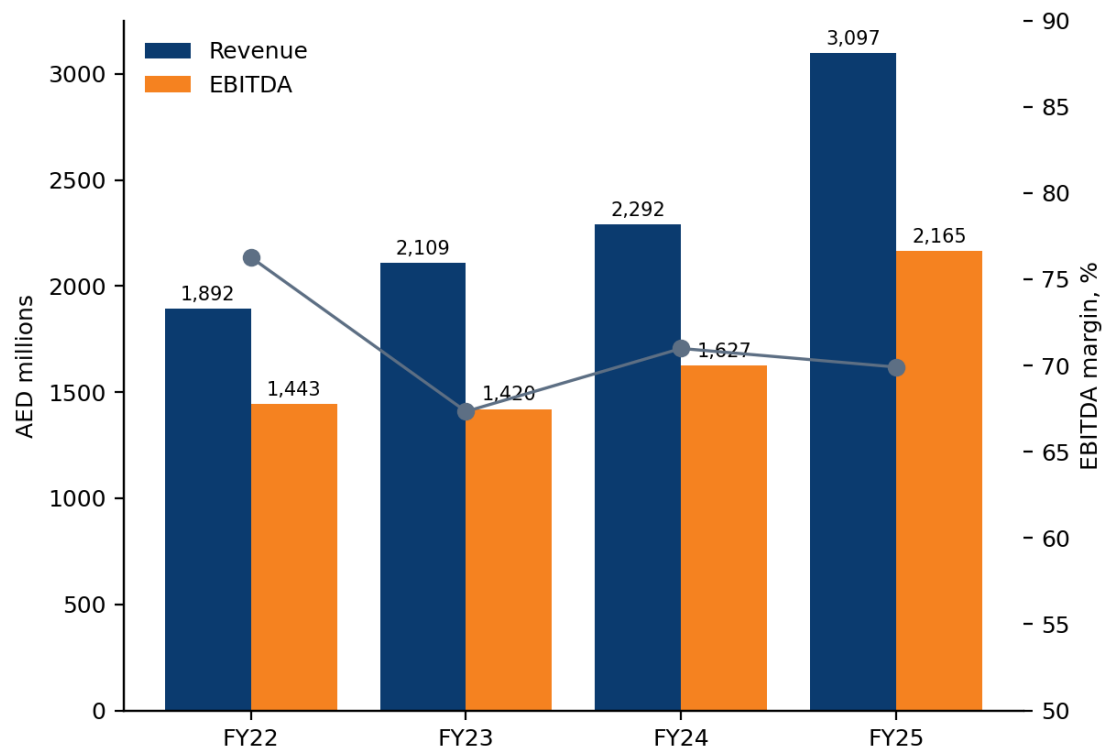
What Salik is, who owns it, and why the question arises now

Business	Exclusive operator of Dubai's automated toll system under a 49-year RTA concession to 2071. Ten gates. Tariff set by decree; variable pricing since 31 January 2025.
Model	Asset-light: the RTA builds and operates the gates; Salik collects and pays a concession fee. Capex is immaterial; EBITDA converts to cash at close to 100%.
Ownership	Listed on the DFM on 29 September 2022 at AED 2.00 (AED 3.7bn raised). Government of Dubai 75.1%; free float 24.9%.
Balance sheet	AED 4.0bn of bank debt held flat since formation; net debt / EBITDA has fallen from 2.2x to 1.6x on earnings growth alone. Policy: 100% payout.
Why now	The shares have risen 168% since listing and the tariff change is now in reported numbers. The government has a fully valued, scarce asset and a set of natural buyers who have just shown their appetite for Gulf infrastructure.

The constraint that shapes every alternative: the Government of Dubai's ownership and the RTA's control of the tariff are not incidental to Salik's value; they are its source. Any transaction must leave both visibly intact.

Financial performance since the IPO

Revenue and EBITDA have grown every year; FY2025 was a tariff event

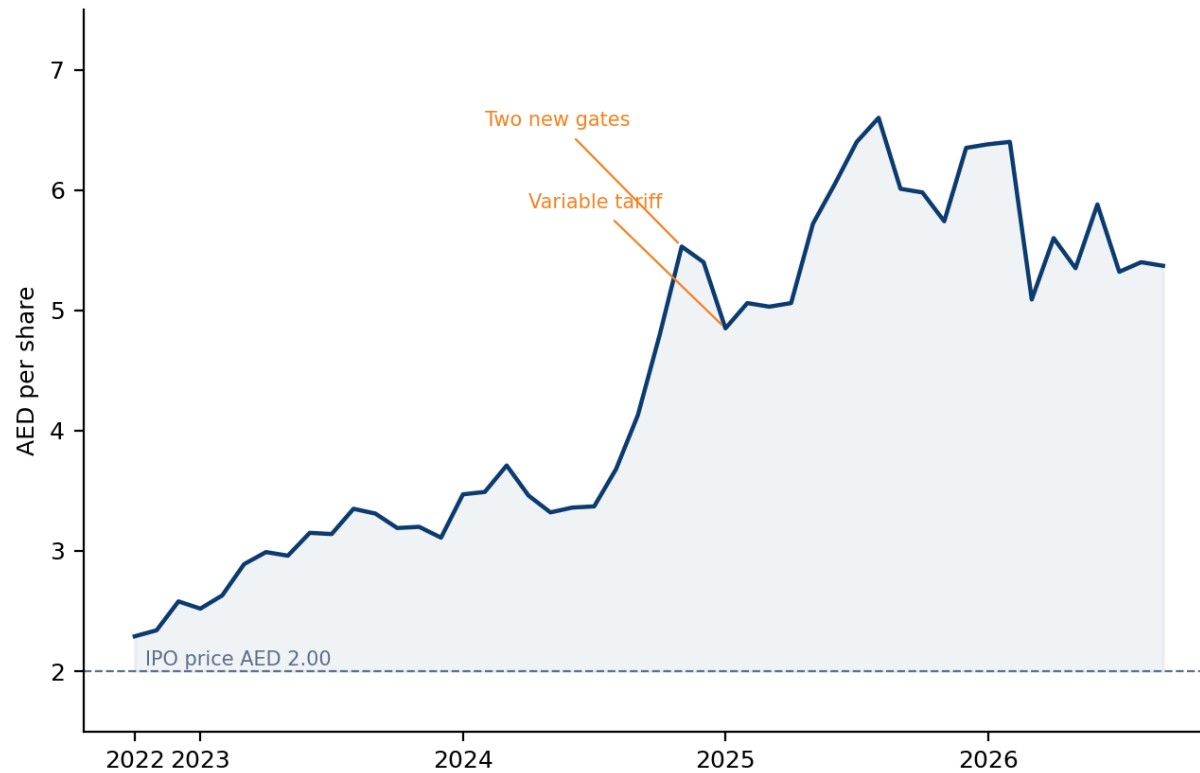


AED m	FY22	FY23	FY24	FY25
Revenue	1,892	2,109	2,292	3,097
EBITDA	1,443	1,420	1,627	2,165
Net profit	1,326	1,098	1,165	1,553
Free cash flow	1,513	1,449	1,457	2,079
EBITDA margin	76%	67%	71%	70%
Net debt / EBITDA	2.2x	2.6x	1.9x	1.6x

- FY2025 revenue +35%: variable tariff (AED 6 peak / AED 4 off-peak) and two gates opened November 2024.
- Margin held near 70% through the step-up; the RTA fee scales with revenue.
- Dividends paid have tracked prior-year profit; the FY2025 payout was AED 1,391m.

Share price since listing

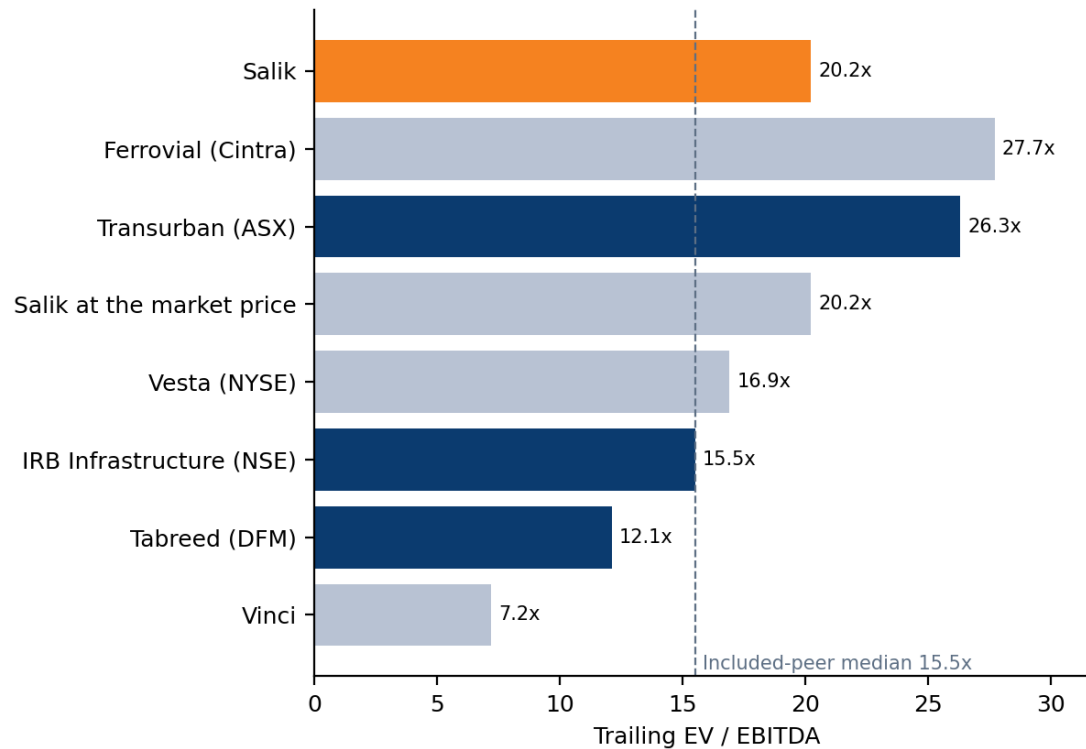
From AED 2.00 at the IPO to AED 5.37: the market has re-rated Salik as the tariff lever was proven



- Market capitalisation AED 40.3bn; enterprise value AED 43.8bn.
- 52-week range AED 4.96–6.78; the shares have given back part of the post-tariff rally.
- P/E 25.9x and yield 3.5%: priced as a long-duration yield asset, not as a growth stock.
- Free float of 24.9% and a concentrated register mean a 10–15% block would be the largest liquidity event since the IPO.

Where Salik trades against listed toll roads

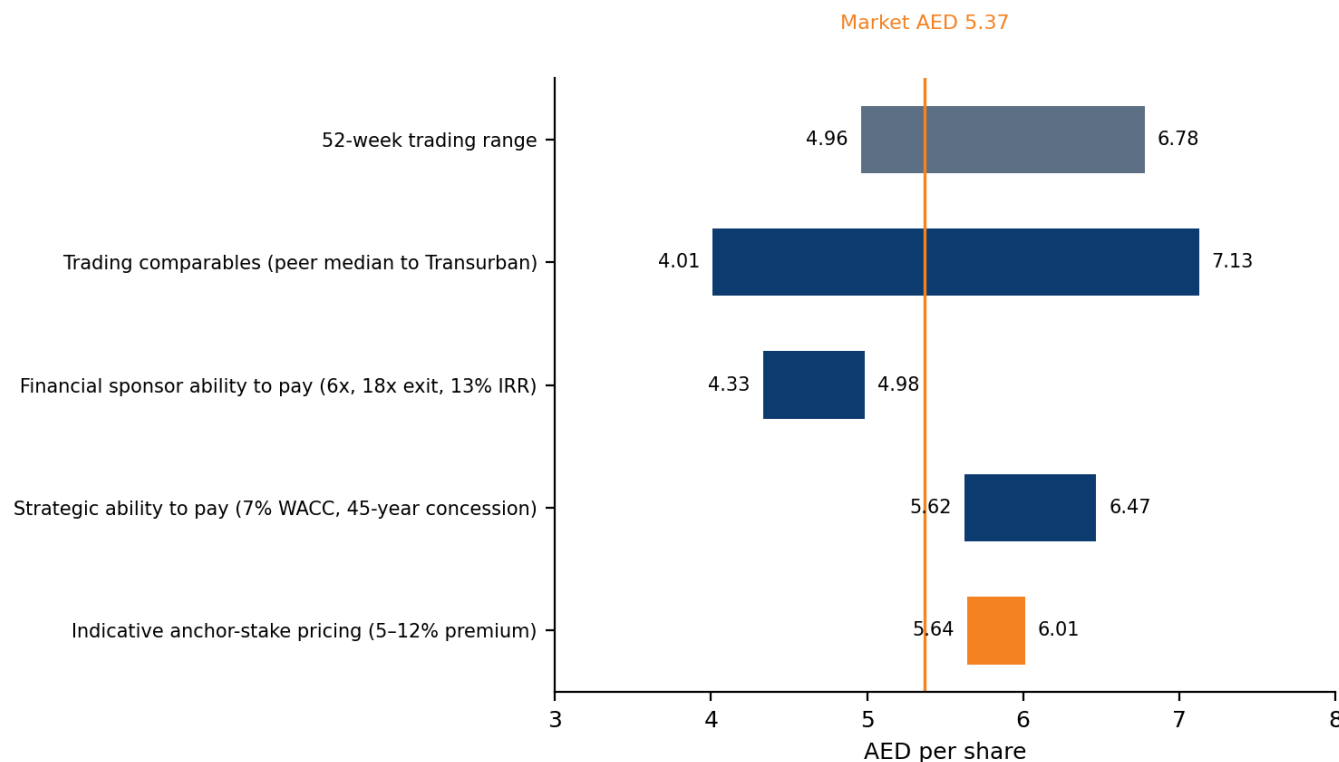
Above the peer median, in line with the longest-dated pure-play concessions



- Included-peer median 15.5x; Salik 20.2x, a 30% premium.
- Transurban, the closest pure-play, trades at 26x on a portfolio of urban roads with traffic risk; Salik carries none.
- Ferrovial and Vinci are excluded from the median because construction and airports dilute the concession multiple (shown in grey).
- Read-across: the market treats Salik like the best pure-play concessions. A buyer paying a premium to today's price is paying above 22x EBITDA.

Valuation summary

What different holders can pay, and where a minority placement would price



- **Sponsor ceiling AED 4.66:** 6x leverage, 18x exit and a 13% hurdle cannot reach the market price. Financial buyers will anchor, not lead on price.
- **Strategic ceiling AED 6.05:** a 7% cost of capital over the 45 years remaining supports a premium, implying 22.6x EBITDA.
- **Placement pricing AED 5.64–6.01:** a 5–12% premium is achievable for a scarce block with board representation and a long lock-up, and sits inside the strategic ceiling.
- All figures from the Project 15 model.

Strategic alternatives

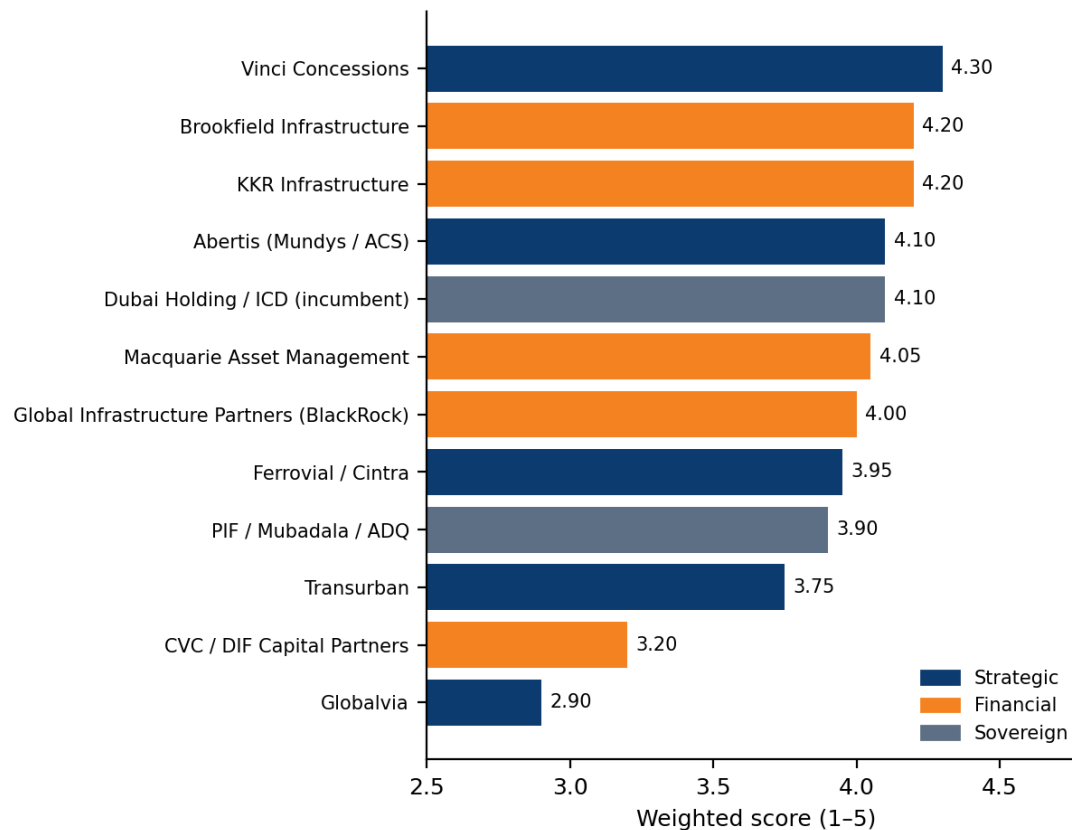
Four paths, one constraint: the government remains the controlling shareholder in every case

Alternative	Description	Proceeds	Valuation	Control	Execution	View
1. Status quo	Hold 75.1%; continue the dividend; add gates and tariff changes by decree	—	Market	Unchanged	None	Base case; leaves a scarce asset idle
2. Accelerated bookbuild	Sell 5–10% to institutions overnight at a discount	AED 0.0bn–AED 0.0bn	3–6% discount	Unchanged	Days	Fast but value-destructive for a scarce block
3. Anchor-stake placement	Place 10–15% with a sponsor-plus-sovereign consortium; board seat; 3-year lock-up	AED 0.0bn–AED 0.0bn	5–12% premium	Government ≥ 60%	3–4 months	Recommended
4. Strategic partnership	Operator takes a small stake and a technology / ancillary-revenue agreement	Small	Premium on the stake	Unchanged	6+ months	Second step after 3; adds capability, not capital

A sale of control is not listed because it is not available: the concession, the tariff and the credit story all rest on the government's ownership, and no buyer in the universe scores well enough on consent to make it a real option.

Buyer universe

Twelve candidates scored on fit, precedent, capacity, regional presence and likelihood of consent



Rank	Candidate	Type	Read-across
1	Vinci Concessions	Strategic	Deepest pockets among strategics; Gulf contracting relationships via Vinci
2	Brookfield Infrastructure	Financial	Owns toll roads and has a Gulf office; natural anchor investor
2	KKR Infrastructure	Financial	ADNOC pipelines precedent shows the Gulf structure works
4	Abertis (Mundys / ACS)	Strategic	Largest pure toll-road owner; would want operational control the RTA will not give
4	Dubai Holding / ICD (incumbent)	Sovereign	The counterparty in every scenario; a reorganisation is more likely than a sale

Recommended approach: a consortium of one global sponsor with Gulf precedent (Brookfield, KKR or GIP) and one regional sovereign fund, with Vinci Concessions approached in parallel for the partnership step. Operators with the best fit (Transurban, Ferrovial) are kept warm as partners, not as buyers.

Recommended path and indicative terms

An anchor-stake placement, then an operator partnership

Term	Indicative position	Rationale
Stake	10–15% of Salik (from the government's 75.1%)	Large enough to matter to a sponsor; government stays above 60%
Price	AED 5.64–6.01 per share (5–12% premium)	Inside the strategic ceiling; scarcity and governance rights justify a premium over a bookbuild
Proceeds	AED 0.0bn–AED 0.0bn	Meaningful for the Emirate's infrastructure programme without a discount
Governance	One board seat; information rights; no veto over tariff or concession	Sponsors need a seat; the RTA's control must be untouched
Lock-up	Three years, then orderly-market provisions	Protects the free float and the government's remaining stake
Dividend	Policy unchanged (100% payout)	The yield is the reason a sponsor buys
Partnership	Technology, tolling analytics and ancillary revenue agreement with an operator; option over a further 2–3%	Adds capability the RTA does not have; keeps operators engaged without ceding control

Process and timeline

Sixteen weeks from mandate to settlement

Phase	Weeks	Workstreams	Deliverable
1. Preparation	1–4	Vendor due diligence on the concession and RTA agreements; management presentation; valuation refresh; regulatory mapping (SCA, DFM, foreign-ownership rules)	Information memorandum; data room
2. Approach	5–8	Six to eight candidates under NDA; management meetings; first-round indications of price, stake and governance	Non-binding offers
3. Selection	9–12	Two consortia into confirmatory diligence; negotiation of shareholders' agreement, lock-up and board rights; SCA consultation on the block	Binding offers; preferred bidder
4. Execution	13–16	Sale and purchase agreement; DFM block trade mechanics; settlement; announcement	Completion

Parallel track: operator partnership discussions begin in phase 2 and conclude after completion, so they do not delay the placement.

Risk	Why it matters	Mitigant
Perceived loss of control	Public and political sensitivity to a strategic asset	Government stays above 60%; RTA control of tariff and concession unchanged; sovereign co-investor
Price discipline	Sponsors cannot reach the market price on a standalone basis	Run a competitive process; anchor with a sovereign; price on the strategic ceiling, not the sponsor ceiling
Market overhang	A block of 10–15% is the largest event since the IPO	Negotiated placement, not a bookbuild; three-year lock-up; staged announcement
Tariff policy	Buyers will price the risk of tariff reversal	Document the 2025 mechanism and the concession's tariff provisions in the vendor diligence
Regulatory	SCA approval of the block; foreign-ownership thresholds	Early consultation; structure through DFM block-trade rules
Execution timing	Rate cuts, oil price and regional events move infrastructure appetite	Sixteen-week process with a go / no-go at the end of phase 2

- All financial and valuation figures are read directly from the Project 15 workbook (Salik_Profile_Buyer_Screen.xlsx) after recalculation; the deck rebuilds from the repository and cannot disagree with the model.
- Salik financial statements FY2022–FY2025 via Yahoo Finance for SALIK.AE; concession terms, gates and tariff from the 2022 IPO prospectus and RTA announcements; share prices from the DFM.
- Peer multiples are trailing EV / EBITDA from Yahoo Finance on 18 September 2026. Ferrovial and Vinci are excluded from the median for the reasons stated on the Trading sheet of the model.
- Ability-to-pay inputs: sponsor case 6x leverage at 6%, 18x exit, 13% IRR, 6% EBITDA growth; strategic case 7% WACC, 3% synergies, 45-year remaining concession, 3% long-run growth.
- Buyer scores are judgements on five criteria weighted 25 / 20 / 20 / 15 / 20; the ranking is live in the model and changes with the weights.
- Indicative placement terms (stake, premium, lock-up, governance) are the author's proposals for discussion and are not derived from any counterparty.
- **This is a hypothetical mandate prepared as a portfolio exercise on public information.** Neither the Government of Dubai nor Salik has engaged any adviser on such a transaction to the author's knowledge, and no party named in the buyer universe is or has been in discussions.